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Audit Act, 2075

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An Act Made to Provide for Audit

Preamble: Whereas, it is desirable to make the laws relating to audit time-relevant,

The Federal Parliament has enacted this Act. 1. Short Title and Commencement: (1) This Act may be called the "Audit Act, 2075".

(2) This Act shall come into force immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act, -

(a) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules made under this Act.

(b) "Organized institution wholly owned by the Government of Nepal, Provincial Government or Local Level" means an organized institution in which all shares or assets are owned by the Government of Nepal, Provincial Government or Local Level, or an organized institution in which all shares or assets are owned by such institution or by such institution and the Government of Nepal, Provincial Government or Local Level, and the term also refers to an organized institution for which the Government of Nepal, Provincial Government or Local Level has to bear full liability.

(c) "Accounts" means records, accounts, books or other documents maintained according to law to show the details of financial transactions, and the term also includes records maintained through electronic means or electronic records evidencing transactions.

(d) "Audit" means the examination of the accounts of the bodies pursuant to Section 3 and of work related to accounts, and the evaluation and analysis conducted on that basis, and the term also includes the work of auditing.

(e) "Documents relating to accounts" means documents required to audit the bodies pursuant to subsection (1) of Section 3, and the term also includes the strategies, annual or periodic plans, action plans, decisions, contracts or understandings, progress reports, monitoring and evaluation reports of such bodies and other documents related to audit work or details, data or information stored in an electronic system.

(f) "Organized institution" means an organized institution in which more than fifty percent shares or assets are owned by the Government of Nepal, Provincial Government or Local Level, and the term also refers to an institution in which more than fifty percent shares or assets are owned by an organized institution.

(g) "Government Office" means the Offices of the President and Vice-President, the Supreme Court, the Federal Parliament, Provincial Assembly, Provincial Government, Office of the Provincial Head,

Constitutional Body or its office, courts, Office of the Attorney General, the Nepal Army, Nepal Police, Armed Police Force, Nepal, and all government offices of the Federation, Province and Local Level. 3.

Bodies to be Audited by the Auditor General: (1) The following bodies shall be audited by the Auditor General:- (a) Government Offices, (b) Organized institutions wholly owned by the Government of Nepal, Provincial Government or Local Level, (c) Institutions or bodies designated by federal law to be audited by the Auditor General. (2) The responsible officer of the bodies pursuant to subsection (1) shall present the accounts of income and expenditure and financial statements according to the prevailing law and get a final audit conducted by the Auditor General. 4. Audit Methods: The Auditor General may, by selecting the bodies pursuant to subsection (1) of Section 3 or any units thereof to be audited, prescribe the method, scope and period of audit?conducting a final audit by examining financial transactions and other related activities item by item, or on a sample basis intermittently, or by examining only a certain percentage?, indicate the facts obtained therefrom, discuss and criticize them, and issue a report with an opinion as necessary on the financial statements. 5. Audit of Financial and Miscellaneous Subjects: (1) The Auditor General may, in addition to financial audit, conduct audits of various subjects such as information technology, performance, gender, forensic science, environment, etc., on a selective basis, also considering the regularity, economy, efficiency, effectiveness and propriety of the bodies pursuant to subsection (1) of Section 3 to be audited. (2) The method, procedure, scope, period, examination and reporting for conducting audits of various subjects pursuant to subsection (1) shall be as prescribed by the Auditor General. 6. Interim Audit: (1) The Auditor General may, on a selective basis, conduct an interim audit of the bodies pursuant to subsection (1) of Section 3 before the end of the fiscal year or after the completion of transactions. (2) The method, procedure, scope, period, examination and reporting for conducting audit pursuant to subsection (1) shall be as prescribed by the Auditor General. (3) The report prepared pursuant to subsection (2) shall be sent by the Auditor General to the concerned body and made public. 7. Audit of Grants and Assistance: (1) The Auditor General may conduct an audit of any type of aid, grant received by the Government of Nepal, Provincial Government or Local Level according to federal law, and any aid or grant amount provided by the Government of Nepal, Provincial Government or Local Level. (2) The method, procedure, scope, period, examination and reporting for conducting audit pursuant to subsection (1) shall be as prescribed by the Auditor General. 8.

Subjects of Audit: The Auditor General shall, considering regularity, economy, efficiency, effectiveness and propriety, conduct an audit of the following subjects as necessary:- (a) Whether the amounts approved under designated headings and sub-headings for expenditure on services and works pursuant to the Appropriation Act and other Acts have been spent for the specified purpose within the limits of the same heading and sub-heading or not, (b) Whether the accounts of transactions have been kept in the prescribed format and reports have been submitted within the specified time or not, (c) Whether the Constitutional bodies, Ministries, Departments and offices at the central level equivalent thereto, and the Ministries of the Province and other offices at the provincial level have maintained central accounts of all financial transactions including appropriation, revenue, deposits of their subordinate offices and prepared central statements or not, and if prepared, whether they depict the true picture of the financial transactions or not, (d) Whether the accounts of the Federal Consolidated Fund, Provincial Consolidated Fund, Local Consolidated Fund, Federal Contingency Fund, Provincial Contingency Fund and other government funds are accurate or not, (e) Whether the concerned government body has released the budget on time or not, (f) Whether the financial statements present a correct and true picture of the financial transactions for the period mentioned therein or not, (g) Whether there is sufficient evidence to support the items of income or expenditure or not, (h) Whether physical progress has been made according to the accounts or reports or not, (i) Whether the expenditure

has been authorised by the competent authority or not, (j) Whether the liability created has been paid on time or not, (k) Whether the available resources, means and assets, including cash and goods, have been properly utilized or not, (l) Whether records of government property have been kept according to the prevailing law or not, (m) Whether government property has been properly preserved and maintained to prevent loss or damage or not, (n) Whether the arrangements for maintaining accounts of government loans and investments and the principal, interest, dividends etc. receivable or payable and actually received or paid therefrom are adequate or not, or whether accounts have been kept accordingly or not, and whether the accounts kept are accurate or not, (o) Whether there are adequate legal provisions to prevent misuse while spending, whether the related regulatory and control arrangements are adequate or not, and whether those provisions have been followed or not, (p) Whether there is an effective system of internal control or not, and whether it has been followed or not, (q) Whether internal audit has been conducted satisfactorily or not, and if conducted, whether the report has been implemented or not, (r) Whether the amounts due to be deposited into the revenue and government fund have been assessed, collected, deposited and accounted for according to law or not, and whether efforts have been made to control revenue leakage or not, (s) Whether the prevailing laws on deposits are adequate or not, and whether they have been complied with or not, (t) Whether the accounts of income and expenditure of industrial and commercial services, the arrangements relating to its goods, cash balances and financial transactions and related laws are adequate or not, and whether they have been complied with or not, (u) Whether the organisation, management and division of work of the office are adequate and appropriate or not, and whether the office has been operated and managed accordingly or not, (v) Whether any work has been unnecessarily duplicated by different employees or bodies, or any work that ought to be done has been omitted, or whether there is an effective arrangement for getting the work of the office done within the specified time or not, (w) Whether the basis for determining the achievements of the organisation and program is clear or not, whether progress has been made within the stipulated time according to the program or not, and whether the quality and quantity of work are according to standards or not, (x) Whether the objectives and policies of the office are clear or not, and whether plans, budgets and programs have been formulated in line with the specified objectives and policies or not, and implemented accordingly or not, (y) Whether programs have been operated within the limit of the approved cost or not, whether expenditure has been made properly by analysing cost and achievement or not, and whether returns have been obtained compared to the cost or not, (z) Whether the arrangements for keeping records of targets, progress and costs are adequate and reliable or not, (aa) Whether monitoring has been done according to the provisions made by the prevailing law or not, and whether the reports obtained from monitoring have been implemented or not, (bb) Whether efforts have been made to make the financial transactions, records and reporting system based on information technology or not, (cc) Whether the use and mobilization of revenue, grants and royalties distributed according to the prevailing law to the Government of Nepal, Provincial Government or Local Level is effective or not, (dd) Whether the work of claiming reimbursement has been done on time or not, (ee) Whether the records of irregularities and their settlement have been kept updated or not, and whether efforts have been made to settle irregularities or not.

9. Matters to be Examined by the Auditor General from the Propriety Perspective: (1) The Auditor General shall, from the propriety perspective, examine the following matters as necessary:-

(a) In relation to expenditure made according to the release but found to have been incurred in an unreasonable manner or in a manner causing loss to national wealth, and the release thereof,

(b) In relation to the grant of movable or immovable national wealth, appropriation of revenue, or all releases issued in connection with the provision of facilities for mines, forests, hydropower, etc., through leases,

permits, licenses, rights and any other means resulting in the surrender of revenue or movable/immovable national wealth,

(c) In relation to contracts and agreements concerning public construction, maintenance, procurement and supply, consultancy services, service delivery, public expenditure, revenue mobilization, and various other financial transaction subjects.

(2) If the Auditor General deems it appropriate, he/she may examine, according to accepted audit principles, whether any officer within his/her jurisdiction has discharged financial accountability or not.

(3) The Auditor General may exclude from his/her report routine items of irregularities or other items not considered noteworthy or significant from the propriety perspective. 10. Audit of Organized Institutions Wholly Owned by the Government of Nepal, Provincial Government or Local Level: (1) Notwithstanding anything written in clause (b) of subsection (1) of Section 3, for auditing an organized institution wholly owned by the Government of Nepal, Provincial Government or Local Level, the Auditor General may, as necessary, appoint a certificate-holding auditor according to the prevailing law as an assistant.

(2) The auditor appointed pursuant to subsection (1) shall work under the direction, control and supervision of the Auditor General.

(3) The work, duties, rights, service conditions, liabilities, procedures to be followed during audit, and provisions related to submitting reports of the auditor appointed pursuant to subsection (1) shall be as per this Act for matters mentioned in this Act, and as prescribed by the Auditor General for matters not mentioned in this Act.

(4) The remuneration receivable by the auditor appointed pursuant to subsection (1) from the concerned institution shall be as prescribed by the Auditor General, considering the financial transactions of such institution, the condition of accounts, the number of branches and sub-branches, workload, and work progress. 11.

Audit of Organized Institutions: (1) Subject to the principles prescribed by the Auditor General, an organized institution may appoint an auditor and get an audit conducted. (2) While appointing an auditor pursuant to subsection (1), the organized institution shall consult the Auditor General. (3) The organized institution concerned shall also send one copy of the report submitted by the auditor appointed pursuant to subsection (1) to the office of the Auditor General. (4) If any error is found in the accounts of such organized institution from the report obtained pursuant to subsection (3), the Auditor General may issue necessary directions to the concerned organized institution and the auditor regarding such error, and it shall be the duty of the concerned organized institution and the auditor to follow such directions. (5) The concerned organized institution shall submit a progress report on the implementation of the matters pointed out by the report obtained pursuant to subsection (3) or the directions given pursuant to subsection (4) within the period prescribed by the Auditor General. 12. Power of Auditor General to Examine or Require Submission of Documents: (1) The Auditor General may, at any time, require the responsible officer of the bodies pursuant to subsection (1) of Section 3 to submit documents related to accounts and obtain information and knowledge related thereto from the concerned officer. (2) The Auditor General may, if deemed necessary, do the following:- (a) Examine at any time the status and documents related to accounts of programs and projects operated with grants received from the Government of Nepal, Provincial Government or Local Level, (b) Require even construction entrepreneurs, suppliers, or institutions or persons undertaking the work of such bodies, who take government work contracts, to submit documents related to such contracts, supplies or

other government work, and in the context of revenue audit, additional evidence documents related to the basis taken for revenue determination purposes, (c) Require submission of documents related to the operation of institutions partially owned by the Government of Nepal, Provincial Government or Local Level and national and international non-governmental organizations. (3) The Auditor General shall have access to the information technology-related systems adopted by the bodies pursuant to subsection (1) of Section 3 for conducting transactions, keeping accounts, managing records, or disseminating information. 13. Power to Levy Fees: (1) The Auditor General may levy fees as prescribed from an organized institution wholly owned by the Government of Nepal, Provincial Government or Local Level, for auditing it. (2) The fees levied pursuant to subsection (1) shall be deposited into the Federal Consolidated Fund. 14.

Review of Audit: (1) To ensure the quality of audit work completed pursuant to this Act, the Auditor General may arrange for periodic quality assurance reviews or peer professional reviews. (2) Except for the review conducted pursuant to subsection (1), no other person or body may review the audit. 15. Power to Obtain Expert Services: (1) The Auditor General may obtain the services of an expert in the relevant subject for the work he/she has to perform. (2) The Auditor General may request the concerned body of the Government of Nepal, Provincial Government or Local Level to depute an expert or officer working in such body to assist in any work he/she has to perform. (3) Upon receiving a request pursuant to subsection (2), the concerned body shall depute such expert or officer for the work assigned by the Auditor General. (4) Remuneration or facilities as prescribed by the Auditor General shall be provided to the person providing expert services pursuant to subsection (1) or to the expert or officer deputed pursuant to subsection (3). 16. Not Liable for Acts Done in Good Faith: No employee of the office of the Auditor General shall be personally liable for any loss or any other type of error occurring from audit work completed in good faith in the course of performing duties according to the standards, policies, directions, guidelines and audit plan issued by the Auditor General to systematize audit pursuant to this Act. 17. Keeping Records through Electronic Means: The Auditor General may keep records of audit files, working papers and other documents and details of the bodies being audited through electronic means. 18. Office of the Auditor General: (1) The Auditor General may establish offices in the Federation and Provinces as necessary for the work to be performed by him/herself. (2) Employees deputed to the offices established pursuant to subsection (1) shall work according to the direction of the Auditor General. (3) The organizational structure and staff positions of the office of the Auditor General shall be as approved by the Government of Nepal upon the recommendation of the Auditor General. 19.

Annual Report: (1) The Auditor General shall include the following subjects in the annual report to be presented to the President pursuant to Article 294 of the Constitution:- (a) Details of the works and activities carried out by the Auditor General during the year, (b) Summary of the main particulars observed from the audit, (c) Status of implementation of audit reports and improvements to be made in the future, (d) Other necessary matters. (2) The Auditor General may issue an audit report with an opinion after completing the audit of the bodies pursuant to subsection (1) of Section 3. (3) In addition to that mentioned in subsection (2), the Auditor General may also issue reports on the performance audit, information technology audit, forensic audit, gender audit, environmental audit and interim audit of the bodies pursuant to subsection (1) of Section 3. (4) The Auditor General may prepare separate annual reports relating to the work and activities of each Province and present them to the concerned Provincial Head. (5) The report presented pursuant to subsection (4) shall be tabled in the Provincial Assembly through the Chief Minister. (6) If extensive loss of movable or immovable national property has occurred or if such loss is likely to occur without immediate action, the Auditor General may at any time audit such transactions and submit a report to the President or the Provincial Head. (7) The report submitted by the Auditor General pursuant to this Section shall be made public. 20. Audit of Local Level: (1) Every Rural Municipality and Municipality shall get an audit conducted by

the Auditor General. (2) After completing the audit of each Rural Municipality and Municipality, the Auditor General may issue separate audit reports. (3) The report issued by the Auditor General pursuant to subsection (2) shall be tabled and discussed in the Village Assembly or Municipal Assembly by the concerned Rural Municipality or Municipality according to the prevailing law of the Local Level. 21. Implementation of Audit Report: (1) It shall be the duty of the concerned responsible officer to implement the report issued by the Auditor General pursuant to this Act. (2) To ensure improvement on the matters mentioned in the report issued by the Auditor General pursuant to this Act and whether suggestions have been implemented or not, the Auditor General may perform tasks including taking reports of actions taken by the audited bodies, taking replies, setting time limits for implementation, re-examining, and issuing necessary directions to the concerned body in that regard. 22.

Action on Irregularities: The concerned body shall take action according to law on errors and irregularities observed while auditing the income-expenditure and other items of accounts of the Government of Nepal, Provincial Government or Local Level. 23. Accounting Format: (1) Accounts of transactions of government offices shall be kept in a format approved by the Auditor General. (2) It shall be the duty of the Office of the Comptroller General to get the format pursuant to subsection (1) approved and to implement or cause it to be implemented. 24. Power of Auditor General to Give Directions: (1) The Auditor General may, subject to the Constitution and this Act, give directions from time to time to the concerned body to arrange for accounts-related provisions or to bring about regularity. (2) The Auditor General may, subject to the Constitution and this Act, give directions from time to time to the concerned regulatory body regarding provisions related to audit. (3) The Auditor General may give directions from time to time to auditors appointed to audit government offices and organized institutions pursuant to this Act, regarding the subjects of audit, subjects to be included in the report and matters mentioned in the report. (4) It shall be the duty of such office and concerned officer to comply with the directions given by the Auditor General pursuant to this Section. 25. Power to Send Letters for Action: (1) The Auditor General may send letters to the concerned body for taking action according to the prevailing law, including departmental action, against the officer or person assigned responsibility for the concerned work who fails to get an audit conducted pursuant to this Act, fails to provide financial statements and accounts to the auditor appointed pursuant to Sections 10 and 11, fails to submit documents related to accounts pursuant to Section 12, fails to provide information and knowledge related thereto, fails to keep accounts in the format pursuant to Section 23, obstructs or opposes audit-related work activities, or violates this Act or the rules made under this Act. (2) Upon receiving a letter pursuant to subsection (1), the concerned body shall take action against the officer or person as soon as possible and inform the office of the Auditor General. 26. Power to Award Prizes: (1) The Auditor General may select the best-performing employee each year from among the employees working in the Federal and Provincial offices of the Auditor General and award a prize as prescribed. (2) For the purpose of subsection (1), the procedure for selecting the best-performing employee shall be as prescribed by the Auditor General. 27.